



भारत हेवी इलेक्ट्रिकल्स लिमिटेड
Bharat Heavy Electricals Limited
(भारत सरकार का उपक्रम / A Government of India Undertaking)
CIN: L74899DL1964GOI004281

From: Dr. Yogesh R Chhabra, Company Secretary,
BHEL, BHEL House, Siri Fort, New Delhi – 110049

To: 1. BSE Limited, Mumbai

2. National Stock Exchange of India Ltd., Mumbai

Sub: Business Responsibility & Sustainability Report for the FY 2024-25

Pursuant to Regulation 34 (2)(f) of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, please find enclosed copy of the Business Responsibility and Sustainability Report of BHEL for the financial year 2024-25.

No. AA/SCY/AGM 61

Date: 26.07.2025

YOGESH R CHHABRA
(Dr. Yogesh R Chhabra)
Company Secretary
shareholderquery@bhel.in

Digitally signed by
YOGESH R CHHABRA
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Annexure-V to the Board's Report

Business Responsibility & Sustainability Report

SECTION A: GENERAL DISCLOSURES

I. Details of the listed entity

1.	Corporate Identity Number (CIN) of the Listed Entity	L74899DL1964GOI004281
2.	Name of the Listed Entity	BHARAT HEAVY ELECTRICALS LIMITED
3.	Date of incorporation	13 November 1964
4.	Registered office address	BHEL House, Siri Fort, New Delhi – 110049
5.	Corporate address	BHEL House, Siri Fort, New Delhi – 110049
6.	E-mail	shareholderquery@bhel.in
7.	Telephone	011-66337598
8.	Website	www.bhel.com
9.	Financial year for which reporting is being done	FY 2024-25
10.	Name of the Stock Exchange(s) where shares are listed	BSE LIMITED (BSE) AND NATIONAL STOCK EXCHANGE OF INDIA LIMITED (NSE)
11.	Paid-up Capital	₹696.41 Crore
12.	Name and contact details (telephone, email address) of the person who may be contacted in case of any queries on the BRSR report	Sandeep Singh Baraith (Sr. DGM – Corporate Strategic Management), email: s.baraith@bhel.in , Phone: 011-66337554
13.	Reporting boundary-Are the disclosures under this report made on a standalone basis (i.e. only for the entity) or on a consolidated basis (i.e. for the entity and all the entities which form a part of its consolidated financial statements, taken together)	Standalone basis
14.	Whether the company has undertaken assessment or assurance of the BRSR core	Yes, certificate enclosed
15.	Name of assessment or assurance provider	BUREAU VERITAS (INDIA) PRIVATE LIMITED
16.	Type of assessment or assurance obtained	Reasonable assurance

II. Products/services

17. Details of business activities (accounting for 90% of the turnover):

S. No.	Description of Main Activity	Description of Business Activity	% of Turnover of the entity
1	Power Segment	The Power Segment comprises equipment supplies and EPC works for coal and lignite, gas, hydro and nuclear power plant businesses and spares & services business, apart from new business of coal to chemicals.	74%
2	Industry Segment	The Industry Segment caters to major equipment supplies and EPC works for a number of industries including transportation, transmission, defence & aerospace, captive power plants, process industries, renewables, upstream and downstream oil & gas, e-mobility and energy storage, among others.	26%

18. Products/Services sold by the entity (accounting for 90% of the entity's Turnover):

S. No.	Product/Service	NIC Code	% of total contributed turnover
1.	Construction and maintenance of power plants	42201	22%
2.	Manufacture of steam or other vapour generating boilers and hot water boilers other than central heating boilers	25131	29%
3.	Manufacture of engines and turbines, except aircraft, vehicle and cycle engines	28110	18%
4.	Manufacture of electricity distribution and control apparatus (electrical apparatus for switching or protecting electrical circuits (e.g. switches, fuses, voltage limiters, surge suppressors, junction boxes etc.) for a voltage exceeding 1000 volts; similar apparatus (including relays, sockets etc.) for a voltage not exceeding 1000 volts; boards, panels, consoles, cabinets and other bases equipped with two or more of the above apparatus for electricity control or distribution of electricity including power capacitors.)	27104	8%
5.	Manufacture of electric power distribution transformers, arc-welding transformers, fluorescent ballasts, transmission and distribution voltage regulators	27102	8%
6.	Manufacture of electric motors (except internal combustion engine starting motors)	27103	3%
7.	Construction/erection and maintenance of power, telecommunication and transmission lines	42202	3%

NIC Code list link: https://www.ncs.gov.in/Documents/NIC_Sector.pdf

III. Operations

19. Number of locations where plants and/or operations/offices of the entity are situated:

Location	Number of plants	Number of offices	Total
National	16	30	46
International	0	1	1

The company has 16 manufacturing units (or plants), 2 repair units, 4 regional offices, 9 service centres, and 15 regional marketing centres. For plant names and their locations, refer 'Pan India Presence'.

20. Markets served by the entity:

a. Number of locations

Locations	Number
National (No. of States)	28 (States), 8 (Union Territories)
International (No. of Countries)	91

b. What is the contribution of exports as a percentage of the total turnover of the entity?

Exports contribute to ~ 1.7% of total turnover

c. A brief on types of customers

BHEL customers span across Government, Government ministries, Government-owned entities, Semi-Government agencies, CPSEs, State PSUs, State electricity boards, Independent Power Producers (IPP) and Private companies.

IV. Employees

Definition of 'Employees', 'workers', 'permanent employee', 'permanent worker', 'employee other than permanent' and 'worker other than permanent' is in line with "Guidance note for business responsibility and sustainability reporting format". As per the interpretation of the definition, 'Employees' include 'Employees' as well as 'Workers' in 'Permanent' and 'other than Permanent' category in below data points.

21. Details as at the end of Financial Year:

- a. Employees and workers (including differently abled):

S. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B/A)	No. (C)	% (C / A)
EMPLOYEES						
1.	Permanent (D)	27800	26183	94.18%	1617	5.82%
2.	Other than Permanent (E) *	20422	18758	91.85%	1664	8.15%
3.	Total employees (D + E)	48222	44941	93.20%	3281	6.80%
WORKERS						
4.	Permanent (F)	13332	12999	97.50%	333	2.50%
5.	Other than Permanent (G)*	20327	18664	91.82%	1663	8.18%
6.	Total workers (F + G)	33659	31663	94.07%	1996	5.93%

- b. Differently abled Employees and workers:

S. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B/A)	No. (C)	% (C / A)
DIFFERENTLY ABLED EMPLOYEES						
1.	Permanent (D)	811	789	97.29%	22	2.71%
2.	Other than Permanent (E)*	75	58	77.33%	17	22.67%
3.	Total employees (D + E)	886	847	95.60%	39	4.40%
DIFFERENTLY ABLED WORKERS						
4.	Permanent (F)	358	355	99.16%	3	0.84%
5.	Other than Permanent (G)*	75	58	77.33%	17	22.67%
6.	Total workers (F + G)	433	413	95.38%	20	4.62%

*BHEL awards job/ works contracts to contractors at its various Units/ Divisions/ Departments/ Sites as per organizational needs. The number of workers with contractors varies from time to time.

22. Participation/ Inclusion/ Representation of women (Status as on March 31, 2025)

	Total (A)	No. and percentage of Females	
		No. (B)	% (B/A)
Board of Directors	10	2	20%
Key Management Personnel (KMP)*	1	0	0%

* In BHEL, KMP includes Board of Directors and Company Secretary; w.r.t. row no. 2 in the table above, only Company Secretary is considered.

23. Turnover rate for permanent employees and workers

Turnover rate for the year is defined as 'Number of persons who have left the employment of the entity in the year*100/ Average number of persons employed in the category'.

	FY 2024-25			FY 2023-24			FY 2022-23		
	Male	Female	Total	Male	Female	Total	Male	Female	Total
Permanent employees	3.60%	4.76%	3.67%	3.34%	4.59%	3.42%	4.01%	4.97%	4.15%
Permanent workers	2.73%	3.30%	2.75%	2.55%	4.43%	2.60%	3.21%	7.66%	3.41%

V. Holding, Subsidiary and Associate Companies (including joint ventures)

24. (a) Names of holding / subsidiary / associate companies / joint ventures

S. No.	Name of the holding / subsidiary/ associate companies/ joint ventures (A)	Indicate whether Holding/ Subsidiary/ Associate/ Joint Venture	% of shares held by listed entity	Does the entity indicated at column A, participate in the Business Responsibility initiatives of the listed entity? (Yes/No)
1.	BHEL-GE GAS TURBINE SERVICES PVT. LTD.	Joint Venture	49.99%	No
2.	NTPC BHEL POWER PROJECTS PVT. LTD.	Joint Venture	50.00%	No
3.	RAICHUR POWER CORPORATION LTD.	Joint Venture	22.14%	No
4.	BHARAT COAL GASIFICATION AND CHEMICALS LTD.	Joint Venture	49.00%	No

Refer Annexure – IX to the Board's Report – Form AOC – I.

VI. CSR Details

25. CSR details

- (i) Whether CSR is applicable as per section 135 of Companies Act, 2013: (Yes/No)

Yes, CSR is applicable for BHEL

- (ii) Turnover: ₹27,355 Crores

- (iii) Net worth: ₹25,113 Crores

VII. Transparency and Disclosures Compliances

26. Complaints/Grievances on any of the principles (Principles 1 to 9) under the National Guidelines on Responsible Business Conduct:

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in Place (Yes/No) (If Yes, then provide web-link for grievance redress policy)	FY 2024-25			FY 2023-24		
		Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks
Communities	Yes https://pgportal.gov.in/	193	4	-	186	1	-
Investors (other than shareholders)	No	0	0	-	0	0	-

Shareholders	Yes The contact details provided at www.bhel.com	2	0	-	8	0	-
Employees and workers	Yes (Internal system)	85	49	-	74	35	-
Customers*	Yes (Internal system)	358	42	-	330	74	-
Value Chain Partners	Yes https://suvidha.bhel.in/	55	10	-	61	11	-

* Consolidation of customer complaint under single system is under implementation

Refer Annexure – II to Board's Report, Corporate Governance, Shareholders committee

Refer Annexure – VIII to Board's Report, Vigil Mechanism

27. Overview of the entity's material responsible business conduct issues

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk / opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
1.	Energy Management and Carbon Footprint	O	Opportunity for energy conservation, energy efficiency, carbon emission reduction, use of renewable energy, maintain existing green cover and planting new saplings. Opportunity to transform the company into 'Green Company' to address climate change issues. Refer Section C: Principle 6	--	Positive Implications
2.	Water and waste Management	O	Opportunity for efficient use of different types of wastes including water and other waste generated during operations based on the principles of 3R (Reduce, Recycle, Reuse) thereby reducing the impact on environment.	--	Positive Implications
3.	Skilled Manpower	R	The lack of new skill set and competencies required for new products/ businesses pose risk for revenues in diversified areas. The depleting skilled manpower in the existing core business of thermal equipment manufacturing may pose risk in future.	Reskilling of workforce, fresh induction at entry level and lateral hiring of required skill sets. Refer Section C: Principle 3	Negative Implications

27. Overview of the entity's material responsible business conduct issues (Contd.)

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk / opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
4.	Health and Safety	R	Managing Safety and Health is an integral part of our businesses. The hazards and risks at the workplace(s), Project site(s), Shop(s) can cause harm to employees, workers and other stakeholders thereby hampering operations.	Employee and workers mandatorily undergo Health, Safety and Environment (HSE) related training on regular basis. There is greater thrust on training and retraining of workers, health check-up and fitness test of workers. Systems and Procedures are in place to conduct the regular safety inspections and safety internal and external audits done at regular frequency. Corrective actions are taken for all the observations given by the auditors (internal as well as external). Refer Section C: Principle 3	Negative Implications
5.	Human Rights and Labour conditions	R	Responsibility to identify and manage Human Rights issues and uphold labour standards in the operations and supply chains. Non-compliance to regulations on Human Rights and labour standards has associated risks and consequential damages.	BHEL policies are in line with the principles of Human Rights, the constitution of India and applicable laws. The company has special provisions for safeguarding of women employees at the workplace. BHEL complies with all the provisions of labour law applicable to BHEL. Refer Section C: Principle 3 and 5	Negative Implications
6.	Employee engagement, diversity and inclusion	O	- Employee engagement enhances productivity and hence affects the bottom line. - Diversity/ equal opportunity helps in upliftment of the civic society. The Company is an equal opportunity employer and does not discriminate based on gender, race, caste, religion, linguistic, region etc. in recruitment and employment relationship guided by GoI policies leading to a diverse culture and talent.	--	Positive Implications

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk / opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
7.	Social engagement and impacts	O	CSR plays an important role in uplifting vulnerable and marginalized societies. It also improves company's brand perception; attractiveness to customers, employees, and investors; and overall business success.	--	Positive Implications
8.	Data and Cyber Security	R	Risks emanating from cyber threat leads to loss in revenue on account of operational time loss and critical data loss (organisation and customer) affecting business.	The company has identified cyber security as one of the top risks. Accordingly, various mitigation measures have been taken for minimisation of the risk viz. the company is certified for ISO/IEC 27001 and has implemented Information Security Management System (ISMS) across organisation; implementation of Centralized solution for Endpoint security, Next-Gen Cyber Security Operations Centre (Cyber SOC), Security Orchestration Automation and Response (SOAR) and Web Application Firewalls (WAFs). Threat intelligence from external sources is integrated with Security Information and Event Management (SIEM) to ensure real time action. Further details have been included in Section 1.12 of the Board's Report.	Negative Implications
9.	Product Safety	R	Lack of Product quality and safe functioning of product impacts company's brand image, liability claims and increases cost (rework costs) etc.	The manufacturing facilities churn out a wide range of high quality and reliable products adhering to national and international standards. Every product offering of BHEL has product manuals which are labelled with detailed product labels/name plates/test certificates as per the requirement and terms of contracts with customers besides the mandatory statutory requirements. Customers are offered training on operating the products as per the contractual conditions.	Negative Implications

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk / opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
10.	Corporate Governance and business ethics	R	Values/ Ethical behaviour is acting in ways that are consistent with how the Company views moral principles and values. Not adhering can lead to reputational risks and adverse impact on business	BHEL believes in conducting its business in compliance with Corporate Governance procedures and code of conduct and ethics. BHEL codes/ procedure are in place such as whistle-blower policy, fraud prevention policy, CDA rules etc. Refer Principle 1.	Negative Implications
11.	Climate Change	R	Reduction in demand for capital goods products that emit GHG emissions. The reduction in demand is a direct consequence to country/ global level policy changes.	Adoption of new technologies and diversifying product portfolio with low emission products.	Negative Implications
12.	Sustainable product and services	O	New business opportunities in the field of Nuclear, Defence, Transportation, Coal to Chemical etc., due to energy transition and climate actions by our customers.	--	Positive Implications
13.	Material Sourcing	R	Geopolitical uncertainties, increasing same material demand from other sectors causes supply risk and material price volatility which may lead to delay in product deliveries as well as challenge in product pricing	Promoting 'Make in India'/ indigenization of items, etc.	Negative Implications
14.	Fuel Economy and Emissions in Use-phase (Operational life of the product)	O	Customer preferences for improved fuel economy, combined with regulations and restricting emissions, are increasing the demand for energy-efficient and lower- emission products in the industry.	--	Positive implications

SECTION B: MANAGEMENT AND PROCESS DISCLOSURES

This section is aimed at helping businesses demonstrate the structures, policies and processes put in place towards adopting the NGRBC Principles and Core Elements.

Disclosure Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
Policy and management processes									
1. a. Whether your entity's policy/policies cover each principle and its core elements of the NGRBCs. (Yes/No/NA)	Y	Y	Y	Y	Y	Y	N ^a	Y	Y
b. Has the policy been approved by the Board? (Yes/No/NA)	Y	Y	Y	Y	Y	Y	N ^a	Y	Y
c. Web Link of the Policies, if available [#]	i, ii, iii, iv	-	v	vi	-	v	-	vi	-
2. Whether the entity has translated the policy into procedures. (Yes/No/NA)	Y	Y	Y	Y	Y	Y	N	Y	Y
3. Do the enlisted policies extend to your value chain partners? (Yes/No/NA)	Y	N	N	N	N	N	N	N	N
4. Name of the national and international codes/certifications/labels/standards (e.g. Forest Stewardship Council, Fairtrade, Rainforest Alliance, Trustea) standards e.g. SA 8000, OHSAS, ISO, BIS) adopted by your entity and mapped to each principle.*	e, f, g	a, b, c	b, c, e, f	f,	e, f, h,	b, d	f, g	f, h	a
5. Specific commitments, goals and targets set by the entity with defined timelines, if any.	NA	50% order book from non-fossil sector	NA	NA	NA	- Planting of 50,000 saplings - GreenCo rating assessment of two manufacturing units	NA	NA	NA
6. Performance of the entity against the specific commitments, goals and targets along-with reasons in case the same are not met.	NA	11.6% during FY 2024-25	NA	NA	NA	85,819 saplings planted - Two manufacturing units assessed for GreenCo rating. FSIP received Silver Rating and EDN Bengaluru received Gold rating	NA	NA	NA

Governance, leadership and oversight

7. Statement by director responsible for the business responsibility report, highlighting ESG related challenges, targets and achievements (*listed entity has flexibility regarding the placement of this disclosure*)

The issue of climate change and imperative for climate action has become a key factor influencing business strategies and policies. BHEL has always been an environment conscious organization and already offering many products and solutions for mitigating the impacts of climate change and further working on many related emerging technologies. The company has been working relentlessly for reducing environmental footprint of its own operations through a well laid out Environment Management System.

HARIT BHEL is a transformative initiative to make BHEL a green company, aiming for NET ZERO by 2047. Increasing the use of green energy, reducing water wastage, increasing rainwater harvesting to achieve water neutrality and adopting responsible waste management practices are key focus areas under the HARIT BHEL initiative.

This also includes enhanced focus on ESG principles, which in turn will help the company foster a culture of innovation in delivering environment friendly products and services.

8. Details of the highest authority responsible for implementation and oversight of the Business Responsibility policy(ies).

Name: Krishna Kumar Thakur
Designation: Director (HR)
DIN: 10172666
Telephone: 011- 26001003
Email id: dhr@bhel.in

9. Does the entity have a specified Committee of the Board/ Director responsible for decision making on sustainability related issues? (Yes / No). If yes, provide details.

10. Details of Review of NGRBCs by the Company:

Subject for Review	Indicate whether review was undertaken by Director / Committee of the Board/Any other Committee									Frequency (Annually/ Half yearly/ Quarterly/ Any other – please specify)								
	P1	P2	P3	P4	P5	P6	P7	P8	P9	P1	P2	P3	P4	P5	P6	P7	P8	P9
Performance against above policies and follow up action	Reviews and frequency are provided in Section C of BRSR wherever applicable.																	
Description of other committee for performance against above policies and follow up action	Reviews and frequency are provided in Section C of BRSR wherever applicable.																	
Compliance with statutory requirements of relevance to the principles, and rectification of any non-compliances	Review and frequency on compliance with statutory requirement are provided in section C of BRSR wherever applicable.																	
Description of other committee for compliance with statutory requirements of relevance to the principles and rectification	Review and frequency on compliance with statutory requirement are provided in section C of BRSR wherever applicable.																	

11. Has the entity carried out independent assessment/ evaluation of the working of its policies by an external agency? (Yes/No). If yes, provide name of the agency.

P1	P2	P3	P4	P5	P6	P6	P7	P8
Policies and procedures of the organization are subject to audits/ reviews by ISO 9001, ISO 14001, ISO 45001, ISO 27001, CAG, Parliamentary Committees, Administrative Ministry, etc.								

*a. ISO 9001; b. ISO 14001; c. ISO 45001; d. ISO 50001; e. ten principles of UNGC on human rights, labour, environment and anti-corruption; f. DPE guidelines g. SEBI LODR requirement; h. Companies Act 2013;

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i. <https://www.bhel.com/code-business-conduct-ethics-board-members-senior-management-personnel>

ii. <https://www.bhel.com/code-conduct-prevention-insider-trading>

- iii. <https://www.bhel.com/bhel-fraud-prevention-policy-0>
- iv. <https://www.bhel.com/whistle-blower-policy>
- v. <https://www.bhel.com/sites/default/files/HSEPOLICY.pdf>
- vi. https://www.bhel.com/sites/default/files/BHEL_CSR_Policy_2022.pdf

Notes:

BHEL has practices and procedures established based on these principles, but do not have formal policy document with respect to one of them.

12. If answer to question (1) above is "No" i.e. not all Principles are covered by a policy, reasons to be stated:

Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
The entity does not consider the Principles material to its business (Yes/No)	No	No	No	No	No	No	No	No	No
The entity is not at a stage where it is in a position to formulate and implement the policies on specified principles (Yes/No)	No	No	No	No	No	No	Yes	No	No
The entity does not have the financial or/human and technical resources available for the task (Yes/No)	No	No	No	No	No	No	No	No	No
It is planned to be done in the next financial year (Yes/No)	No	No	No	No	No	No	No	No	No
Any other reason (please specify) *	No	No	No	No	No	No	No	No	No

*In respect of Principle 7 referring to Policy Advocacy, although company doesn't have policy but follows established practices based on 'Policy advocacy in a responsible manner'

SECTION C: PRINCIPLE WISE PERFORMANCE DISCLOSURE

Principle 1: Ethics, Transparency and Accountability

Essential Indicators

1. Percentage coverage by training and awareness programmes on any of the Principles during the financial year:

BHEL conducts several training programmes for its employees and the Directors. These training programmes are curated based on the requirements and include several topics (which in some form covers the nine principles) within a program.

Segment	Total number of training and awareness programmes held	Topics / principles covered under the training and its impact	%age of persons in respective category covered by awareness programmes
Board of Directors*	8	Familiarization of Manufacturing Capabilities, Business Conduct and Listing Regulations	80.00%
Key Managerial Personnel	5	Amendments to SEBI Listing Regulations, SEBI Insider Trading Regulations, Investor Education and Protection Fund, Viksit Bharat, SME, POSH and New Labour Codes	100.00%
Employees [#] other than BoD and KMPs	1651	Technical, functional, safety, managerial and behavioural topics in line with nine principles	60.10%
Workers [@]	625		44.70%

* In BHEL KMP includes Board of Directors and Company Secretary; w.r.t. row no. 2, only Company Secretary is considered.

This includes BHEL's permanent employees and workers.

@ This includes BHEL's permanent workers

2. Details of fines / penalties / punishment/ award/ compounding fees/ settlement amount paid in proceedings (by the entity or by directors / KMPs) with regulators/ law enforcement agencies/ judicial institutions, in the financial year, in the following format (Note: the entity shall make disclosures on the basis of materiality as specified in Regulation 30 of SEBI (Listing Obligations and Disclosure Obligations) Regulations, 2015 and as disclosed on the entity's website):

Monetary					
	NGRBC Principle	Name of the regulatory/ enforcement agencies/ judicial institutions	Amount (INR)	Brief of the Case	Has an appeal been preferred? (Yes/ No)
Penalty/ Fine	NIL	NIL	0	NIL	NIL
Settlement	NIL	NIL	0	NIL	NIL
Compounding fee	NIL	NIL	0	NIL	NIL

Non-Monetary				
	NGRBC Principle	Name of the regulatory/ enforcement agencies/ judicial institutions	Brief of the Case	Has an appeal been preferred? (Yes/ No)
Imprisonment	NIL	NIL	NIL	NIL
Punishment	NIL	NIL	NIL	NIL

3. Of the instances disclosed in Question 2 above, details of the Appeal/ Revision preferred in cases where monetary or non-monetary action has been appealed

Case Details	Name of the regulatory/ enforcement agencies/ judicial institutions
NA	NA

4. Does the entity have an anti-corruption or anti-bribery policy? If yes, provide details in brief and if available, provide a web-link to the policy.

Yes, BHEL has Whistle Blower Policy and Fraud Prevention Policy in place to fight menace of corruption and bribery. As a part of BHEL's persisting endeavour to set a high standard of conduct among its employees (other than those governed by standing orders), BHEL 'Conduct, Discipline and Appeal Rules-1975' is in place. https://bhel.com/sites/default/files/CDA%20Rules_0.pdf

The Company is subject to RTI Act 2005, audit by Statutory Auditors and CAG audit under section 139 of the Companies Act, 2013.

<https://www.bhel.com/bhel-fraud-prevention-policy-0>

<https://www.bhel.com/whistle-blower-policy>

Chief Vigilance Officer (CVO), who functions as a link between Central Vigilance Commission (CVC), Central Bureau of Investigation (CBI) and the Management, heads the Vigilance function in BHEL. Each of the Manufacturing Units and Power

Sector Regions of BHEL have a Vigilance set-up, headed by a Vigilance Executive reporting to the CVO. In the area of business dealings with vendors and customers, BHEL has signed an MoU with Transparency International India (TII) to adopt 'Integrity Pact' to make procurement and contracting more transparent by binding both the parties to ethical conduct. A panel of three (03) Independent External Monitors (IEMs) has been appointed to oversee implementation of Integrity Pact in BHEL, with due approval of Central Vigilance Commission. Details of IEMs are available at the link below.

<https://www.bhel.com/iems-under-integrity-pact-1>

5. Number of Directors/KMPs/employees/workers against whom disciplinary action was taken by any law enforcement agency for the charges of bribery/ corruption:

	FY 2024-25	FY 2023-24
Directors	0	0
KMPs	0	0
Employees	0	1
Workers	0	0

6. Details of complaints with regard to conflict of interest:

Details	FY 2024-25		FY 2023-24	
	Number	Remarks	Number	Remarks
Number of complaints received in relation to issues of Conflict of Interest of the Directors	0	--	0	--
Number of complaints received in relation to issues of Conflict of Interest of the KMPs (other than directors)	0	--	0	--

7. Provide details of any corrective action taken or underway on issues related to fines / penalties / action taken by regulators/ law enforcement agencies/ judicial institutions, on cases of corruption and conflicts of interest-

Refer Annexure - VIII to the Board's Report, Vigil Mechanism

8. Number of days of accounts payable ((Accounts payable * 365) / Cost of goods/ services procured) in the following format:

	FY 2024-25	FY 2023-24*
Accounts payable x 365 days	₹4,27,47,74,15,00,000	₹3,95,37,31,10,00,000
Costs of goods/ service procured	₹2,13,15,00,00,000	₹1,72,55,00,00,000
Number of days of accounts payables	201	229

*Note: Data of FY 2023-24 has been regrouped/rearranged to conform to the FY 2024-25 classification

9. Open-ness of business: Provide details of concentration of purchases and sales with trading houses, dealers, and related parties along-with loans and advances & investments, with related parties, in the following format:

Parameter	Metrics	FY 2024-25	FY 2023-24
Concentration of Purchases*	a. i) Purchases from trading houses (₹)	0	0
	ii) Total purchases (₹)	1,47,16,00,00,000	97,00,00,00,000
	iii) Purchases from trading houses as % of total purchases	0%	0%
	b. Number of trading houses where purchases are made	0	0
	c. i) Purchases from top 10 trading houses (₹)	0	0
	ii) Total purchases from trading houses (₹)	0	0
	iii) Purchases from top 10 trading houses as % of total purchases from trading houses (₹)	0%	0%
Concentration of Sales	a. i) Sales to dealer / distributors (₹)	0	0
	ii) Total Sales (₹)	2,73,55,17,00,000	2,29,20,52,00,000
	iii) Sales to dealer / distributors as % of total sales	0%	0%
	b. Number of dealers / distributors to whom sales are made	0	0
	c. i) Sales to top 10 dealers / distributors (₹)	0	0
	ii) Total Sales to dealer / distributors (₹)	0	0
	iii) Sales to top 10 dealers / distributors as % of total sales to dealer / distributors	0%	0%
Share of RPTs in	a. i) Purchases (Purchases with related parties) (₹)	1,49,00,000	1,25,00,000
	ii) Total purchases (₹)	2,13,15,00,00,000	1,72,55,00,00,000
	iii) Purchases with related parties as % of Total purchases	0.01%	0.01%
	b. i) Sales (Sales to related parties) (₹)	3,29,89,00,000	3,15,83,00,000
	ii) Total sales (₹)	2,73,55,17,00,000	2,29,20,52,00,000
	iii) Sales to related parties as % of Total sales	1.21%	1.38%
	c. i) Loan & advances given to related parties (₹)	16,00,000	0
	ii) Total loans & advances (₹)	31,90,00,00,000	25,08,00,00,000
	iii) Loan & advances given to related parties as % of Total loans & advances	0.01%	0%
	d. i) Investments in related parties (₹)	5,29,49,000	0
	ii) Total Investments made (₹)	5,29,49,000	0
	iii) Investments in related parties as % of Total Investments made	100%	0%

*Note: Total purchases under 'Concentration of Purchases' pertain to Goods & Services only (excl. works)

Leadership Indicators

1. Awareness programmes conducted for value chain partners on any of the Principles during the financial year:

Total number of awareness programmes held	Topics / principles covered under the training	%age of value chain partners covered (by value of business done with such partners) under the awareness programmes
49	- Awareness on Public Procurement Policy for Micro and Small Enterprises (MSEs) – Order for MSEs (issued by Ministry of MSME-Gol) - Online supplier registration portal - Government-e-Marketplace (GeM) - BHEL General Conditions of Contract - BHEL SAMVAAD with domestic industry to identify local sources and provide impetus for Atmanirbhar Bharat	20%

2. Does the entity have processes in place to avoid/manage conflict of interests involving members of the Board? (Yes/No) If Yes, provide details of the same.

The Companies Act, 2013 and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 have detailed provisions which require the Directors of the Board to disclose their concern or interest (including their shareholding) in any company(ies)/ bodies corporate/ firms/ other association of individuals, periodically as well as whenever there is any change in the disclosures already made. In this regard, the Directors also submit a certificate to the Board stating that they do not have any conflict of interest with regard to the business of the Company on account of their concern/ interest and whenever any such conflict/ interest arises they shall promptly inform the same to the Board.

Apart from this, the Company's Board has approved a 'Code of Business Conduct & Ethics for all Board Members and Senior Management Personnel'. The Code encompasses (i) General Moral Imperatives (ii) Specific Professional Responsibilities as well as (iii) Specific Additional Provisions for Board Members and Senior Management Personnel. In addition, for the purpose of clearly defining the roles and responsibilities of the Board and individual Directors and to enable the Board to effectively perform its role, the Board has laid down a Charter of the Board of Directors.

In addition to these processes which are in place to avoid/manage conflict of interests involving members of the Board, the Independent Directors on the Board are required to comply with certain additional provisions viz., submission of declaration of their independence (i.e. they meet the criteria of independence and that they are not aware of any circumstance or situation, which exist or may be reasonably anticipated, that could impair or impact their ability to discharge their

duties with an objective independent judgment and without any external influence) and compliance with Schedule IV of the Companies Act which inter alia provides for (i) Guidelines of professional conduct (ii) Role and functions and (iii) Duties for Independent Directors.

Principle 2: Product lifecycle sustainability

Essential Indicators

1. Percentage of R&D and capital expenditure (capex) investments in specific technologies to improve the environmental and social impacts of product and processes to total R&D and capex investments made by the entity, respectively.

	FY 2024-25	FY 2023-24	Details
R&D	1.59%	2.09%	Developmental projects in more than 10 distinct technology fields were taken up to promote environmental sustainability.
Capex	4.89%	5.57%	Major CAPEX towards Establishment of Regasified Liquefied Natural Gas (RLNG) Infrastructure at BHEL Trichy, 30T Electric Arc Furnace (EAF) at BHEL CFFP Haridwar, 10 MTPH Gas Fired Boiler at BHEL Jhansi, etc.

Refer Annexure- VI to the Board's Report and Annexure-VII to the Board's Report

2. a. Does the entity have procedures in place for sustainable sourcing? (Yes/No)
- b. If yes, what percentage of inputs were sourced sustainably?

Yes, BHEL has implemented e-procurement/GeM as business improvement and sustainable business practice. Also, supplier registration is done in online mode only. BHEL sources varied input material and component from several of its value chain partners which are certified and compliant with standards such as ISO 14001, ISO 45001, ISO 9001 etc.

100% of our inputs are sourced sustainably.

3. Describe the processes in place to safely reclaim your products for reusing, recycling and disposing at the end of life, for (a) Plastics (including packaging) (b) E-waste (c) Hazardous waste and (d) other waste.

BHEL products fall under capital goods category where product life goes beyond 25 years in majority of cases. These goods sold to customer becomes their property as per the contractual terms and forms part of customer's asset in books of finance with depreciating nature. The market requirement is for extension of the life of products or systems through process of refurbishments or R&M. After end of desired life of capital goods, they become unfit for reuse and hence being disposed as scrap by owner of the capital good products.

4. Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes / No). If yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards? If not, provide steps taken to address the same.

Extended Producer Responsibility (EPR) is not applicable to BHEL's activities.

Leadership Indicators

1. Has the entity conducted Life Cycle Perspective / Assessments (LCA) for any of its products (for manufacturing industry) or for its services (for service industry)? If yes, provide details.

No, company has not conducted Life Cycle Assessments for products.

2. If there are any significant social or environmental concerns and/or risks arising from production or disposal of your products / services, as identified in the Life Cycle Perspective / Assessments (LCA) or through any other means, briefly describe the same along-with action taken to mitigate the same.

Not applicable

3. Percentage of recycled or reused input material to total material (by value) used in production (for manufacturing industry) or providing services (for service industry).

Company's manufacturing processes generate metal scrap; however, engineering measures are taken to minimize waste generation. A good amount of manufacturing scrap subsequently undergoes recycling within the company and is reused. For example, steel scrap is used in Central Foundry Forge Plant (CFFP) at Haridwar for manufacturing of Steel Castings. Similarly, used sand from Foundry Plant is reclaimed and again used in preparation of fresh moulds. Reusable material is also used in packaging manufactured goods.

However, the financial value of such recycled/reused items in use is not separately being captured at the moment.

4. Of the products and packaging reclaimed at end of life of products, amount (in metric tonnes) reused, recycled, and safely disposed, as per the following format:

BHEL's business is B2B in nature and products/ systems we supply fall under capital goods category with long lifecycle (25 years and beyond). All the associated packaging material for supplies becomes the property of our customers that spread across the country and abroad. After end of desired life of capital goods, they become unfit for reuse and hence being safely disposed as scrap by owner of the capital good products.

5. Reclaimed products and their packaging materials (as percentage of products sold) for each product category.

As explained in point 4 (previous point).

Principle 3: Employees' well-being

Essential Indicators

1. a. Details of measures for the well-being of employees:

Category	% of employees covered by										
	Total (A)	Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		Number (B)	% (B / A)	Number (C)	% (C / A)	Number (D)	% (D / A)	Number (E)	% (E / A)	Number (F)	% (F / A)
Permanent employees*											
Male	26183	26183	100%	26183	100%	0	0%	26183	100%	0	0%
Female	1617	1617	100%	1617	100%	1617	100%	0	0%	1617	100%
Other	0	0	--	0	--	0	--	0	--	0	--
Total	27800	27800	100%	27800	100%	1617	5.82%	26183	94.18%	1617	5.82%
Other than Permanent employees											
Male	18758	18758	100%	18758	100%	0	0	0	0%	0	0%
Female	1664	1664	100%	1664	100%	1664	100%	0	0%	269	16.17%
Other	0	0	--	0	--	0	--	0	--	0	--
Total	20422	20422	100%	20422	100%	1664	8.15%	0	0%	269	1.32%

b. Details of measures for the well-being of workers:

Category	% of workers covered by										
	Total (A)	Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		Number (B)	% (B / A)	Number (C)	% (C / A)	Number (D)	% (D / A)	Number (E)	% (E / A)	Number (F)	% (F / A)
Permanent workers											
Male	12999	12999	100%	12999	100%	0	0%	12999	100%	0	0%
Female	333	333	100%	333	100%	333	100%	0	0%	333	100%
Other	0	0	--	0	--	0	--	0	--	0	--
Total	13332	13332	100%	13332	100%	333	2.50%	12999	97.50%	333	2.50%
Other than Permanent workers®											
Male	18664	18664	100%	18664	100%	0	0%	0	0%	0	0%
Female	1663	1663	100%	1663	100%	1663	100%	0	0%	268	16.12%
Other	0	0	--	0	--	0	--	0	--	0	--
Total	20327	20327	100%	20327	100%	1663	8.18%	0	0%	268	1.32%

Note: *BHEL extends medical facility to its employees and their dependents. The facility is extended to its employees/ spouse on superannuation/ death as well. Day care facilities are also extended in several premises including BHEL's manufacturing plants.

^a In case of 'other than permanent workers', insurance is inbuilt in the Works contract.

c. Spending on measures towards well-being of employees and workers (including permanent and other than permanent) in the following format:

	FY 2024-25	FY 2023-24
i) Cost incurred on wellbeing measures (well-being measures means well-being of employees and workers (including male, female, permanent and other than permanent employees and workers))	₹1,76,75,00,000	₹1,69,41,00,000
ii) Total revenue of the company	₹2,88,42,87,00,000	₹2,44,80,70,00,000
iii) Cost incurred on wellbeing measures as a % of total revenue of the company	0.61%	0.69%

2. Details of retirement benefits, for Current Financial Year and Previous Financial Year.

Benefits	FY 2024-25			FY 2023-24		
	No. of employees* covered as a % of total employees	No. of workers# covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)	No. of employees* covered as a % of total employees	No. of workers# covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)
PF	100%	100%	Y	100%	100%	Y
Gratuity	100%	100%	Y	100%	100%	Y
ESI [®]	-	-	-	-	-	-
Others (BHEL Pension scheme)	100%	100%	NA	100%	100%	NA
Others (BHEL Medical facility)	100%	100%	NA	100%	100%	NA

* This includes only permanent employees (including permanent workers). For other than permanent employees, all the statutory requirements are met by their respective contractors.

This includes only permanent workers. For other than permanent workers, all the statutory requirements are met by their respective contractors.

[®] ESI is not applicable. None of the BHEL permanent employees fall within the eligibility criteria of ESI Act.

3. Accessibility of workplaces

Are the premises / offices of the entity accessible to differently abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016? If not, whether any steps are being taken by the entity in this regard.

Yes, BHEL's premises and office are accessible to differently abled employees and workers. The structural modifications and other changes (in policies, etc.) are made according to the requirements of the Rights of Persons with Disabilities Act, 2016.

4. Does the entity have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016? If so, provide a web-link to the policy.

Yes, the company takes affirmative action in recruitment and promotion for representation of employees from socio-economically backward sections of society, minorities, disabled personnel and women as mandated by the Government of India. The company is an equal opportunity employer and does not discriminate on the basis of gender, race, caste, religion, linguistic, region, disability etc. in recruitment and employment relationship.

In case of an employee made to retire on medical grounds prematurely, provisions of "The Rights of Persons with Disabilities Act, 2016" are kept in consideration. Additionally, Transfer and Job Rotation Policy mandated for applicability of Government guidelines for the transfers of Persons with Disabilities (PwD) employees.

5. Return to work and Retention rates of permanent employees and workers that took parental leave.

	Permanent employees		Permanent workers	
Gender	Return to work rate	Retention rate	Return to work rate	Retention rate
Male	100%	100%	100%	100%
Female	100%	100%	100%	100%
Other	--	--	--	--
Total	100%	100%	100%	100%

6. Is there a mechanism available to receive and redress grievances for the following categories of employees and workers? If yes, give details of the mechanism in brief.

	Yes/No (If Yes, then give details of the mechanism in brief)
Permanent Workers	Yes
Other than Permanent Workers	Yes
Permanent Employees	Yes
Other than Permanent Employees	Yes

There is a well laid out grievance redressal mechanism through two schemes – one for workers and other for staff and officers. A grievance for the purpose of the scheme means a grievance of individual employee arising out of the implementation of Company policies/rules or Management Decisions. Both these schemes provide for three-tier resolution. Defined timelines are laid down for resolution of grievance at each stage. Besides, an appellate mechanism is also provided under the scheme, in the case of grievance redressal scheme for staff and officers, and aggrieved employee can approach in case he/she is not satisfied with the resolution of the grievance. For 'other than permanent employees/ worker', the grievances are settled on case-to-case basis or through the contractors as the case may be.

7. Membership of employees and workers in association(s) or Unions recognized by the listed entity:

Category	FY 2024-25			FY 2023-24		
	Total employees / workers in respective category (A)	No. of employees / workers in respective category, who are part of association(s) Or Union (B)	% (B / A)	Total employees / workers in respective category (C)	No. of employees / workers in respective category, who are part of association(s) or Union (D)	% (D / C)
Total Permanent Employees	27800	27800	100.00%	28673	28673	100.00%
- Male	26183	26183	100.00%	26996	26996	100.00%
- Female	1617	1617	100.00%	1677	1677	100.00%
- Other	0	0	--	0	0	--
Total Permanent Workers	13332	13332	100.00%	14207	14207	100.00%
- Male	12999	12999	100.00%	13846	13846	100.00%
- Female	333	333	100.00%	361	361	100.00%
- Other	0	0	--	0	0	--

BHEL has 29 participative trade unions represented in the apex level bipartite body, namely the Joint Committee for discussing workers' and the Company's interest related issues, based on the principle of participative management.

All three categories of employees viz. executives, supervisors and workers are represented by their respective associations/ trade unions. However, since there is no check-off facility to ascertain the exact membership of executive/ supervisor associations and workers' unions, a firm number is not available.

8. Details of training given to employees and workers:

Category	FY 2024-25					FY 2023-24				
	Total (A)	On Health and safety measures		On Skill upgradation		Total (D)	On Health and safety measures		On Skill upgradation	
		No. (B)	% (B/A)	No. (C)	% (C/A)		No. (E)	% (E/D)	No. (F)	% (F / D)
Employees										
Male	26183	3845	14.69%	12794	48.86%	26996	3733	13.83%	11466	42.47%
Female	1617	394	24.37%	1071	66.23%	1677	405	24.15%	1118	66.67%
Other	0	0	--	0	--	0	0	--	0	--
Total	27800	4239	15.25%	13865	49.87%	28673	4138	14.43%	12584	43.89%
Workers										
Male	12999	1614	12.42%	4072	31.33%	13846	1289	9.31%	3842	27.75%
Female	333	104	31.23%	152	45.65%	361	96	26.59%	181	50.14%
Other	0	0	--	0	--	0	0	--	0	--
Total	13332	1718	12.89%	4224	31.68%	14207	1385	9.75%	4023	28.32%

Note: Employees and workers considered here are permanent

9. Details of performance and career development reviews of employees and workers:

Category	FY 2024-25			FY 2023-24		
	Total (A)	No. (B)	% (B / A)	Total (C)	No. (D)	% (D / C)
Employees						
Male	26183	26055	99.51%	26996	26996	100%
Female	1617	1575	97.40%	1677	1677	100%
Other	0	0	--	0	0	--
Total	27800	27630	99.39%	28673	28673	100%
Workers						
Male	12999	12811	98.55%	13846	13846	100%
Female	333	304	91.29%	361	361	100%
Other	0	0	--	0	0	--
Total	13332	13115	98.37%	14207	14207	100%

Note: Employees and workers considered here are permanent

10. Health and safety management system:**a. Whether an occupational health and safety management system has been implemented by the entity? (Yes/ No). If yes, the coverage such system?**

Yes, Occupational Health and Safety Management System (OHSMS) has been implemented across the organization. This system is applicable to all Manufacturing Units, Power Sector Regions and Divisions covering all the employees working with and for BHEL.

b. What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity?

Company has robust systems and processes to identify the work-related hazards and assess risks on routine and non-routine basis. Some of them are mentioned below:

HIRA (Hazard Identification and Risk Assessment) – HIRA is implemented at all workplaces as a standard practice. This involves thorough process of identification of hazards and attached risk for each process or activity in a comprehensive manner at every department level with the participation of all employees. The created HIRA is periodically reviewed for updates and promptly revised if any changes in processes are identified.

JSA (Job Safety Analysis) – It is essential that maintenance jobs and other repetitive jobs having accident potentials are analysed for hazards and adequate safety measures are laid down. This is done at the stage of planning for job / process. Procedures are being established to conduct JSA at workplace. During Job Safety Analysis, the procedure is to select the job based on frequency of accidents, severity of potential injuries and any new job in which the accident risks are uncertain. The job is then broken down into sequential steps, hazards are identified at each step, and strategies are developed to eliminate these hazards and prevent potential accidents.

Method Statement – It outlines the safe way of performing a specific job or accomplishing a project and ensures that necessary precautions or control measures are communicated to those involved. A method statement provides evidence that significant health and safety risks have been identified and there are safety systems in place.

c. Whether you have processes for workers to report the work-related hazards and to remove themselves from such risks. (Y/N)

Yes, Employees are equipped with processes and procedures to report work-related hazards. Through structured training programs conducted periodically at the workplace, workers are educated to recognize unsafe acts and conditions. They can report these hazards through offline or online channels accessible at their work sites. Additionally, established procedures are in place to address and mitigate the reported cases effectively within the system.

App based system 'HSE Observer' has been implemented for registration of work-related hazards/ unsafe acts / unsafe conditions at project sites. User can submit HSE violations/ issues, incidents/ near misses and good practices through the application. Any employee can register an HSE issue through the App and the role of Safety Officials is to report and highlight the issues. Also, for critical issues, work has to be stopped followed by reporting and resolution. Safety team is expected to highlight the issue in safety reviews and follow up for closure.

d. Do the employees/ worker of the entity have access to non-occupational medical and healthcare services? (Yes/ No)

Yes, employees and workers have access to non-occupational medical and healthcare services, offered through company operated health care facilities as well as external healthcare facilities which are compensated suitably as per the company policy. BHEL has ensured the availability of suitable medical facilities even at the remote workplaces.

11. Details of safety related incidents, in the following format:

Safety Incident/Number	Category	FY 2024-25	FY 2023-24
Lost Time Injury Frequency Rate (LTIFR) (per one million-person hours worked)	Employees	0	0
	Workers	0.427	0.444
Total recordable work-related injuries	Employees	0	0
	Workers	43	43

No. of fatalities	Employees	0	0
	Workers	0	2
High consequence work-related injury or ill-health (excluding fatalities)	Employees	0	0
	Workers	43	41

Note: For the purpose of safety statistics all people working inside the BHEL Units have been included in the term workers.

12. Describe the measures taken by the entity to ensure a safe and healthy work place.

BHEL believes that the employees and people associated with other partner entities are important stakeholders and thus their health, safety and well-being are paramount for business success. Company consistently enhances systems, policies, and procedures to strive for "Zero Harm" to its workforce. Additionally, BHEL actively fosters a safety-centric culture to reinforce a commitment to workplace safety and well-being.

At BHEL, special initiatives are being taken to inculcate the safety values in the work force at all levels through structured training programs, safety reviews, work to permit system, HIRA and JSA, mega tool box talk, internal and external audits, etc. Awareness and sensitization are increased enormously by the help of HSE campaigns i.e. BHEL Safety Fortnight-2025 (March 4 – March 17, 2025), BHEL Environment Awareness Month-2024 (June 5 – July 4, 2024), Swachhata Pakhwada-2024 (Aug 16 – Aug 31, 2024), Special Campaign 4.0 (Oct 2 – Oct 31, 2024). To encourage new and innovative activities and projects, several inter-unit competitions were organized in during above promotional campaigns.

The efforts taken by the company elucidate the intentions towards providing safe and healthy environment for the human resource working for and with BHEL.

13. Number of Complaints on the following made by employees and workers:

Benefits	FY 2024-25			FY 2023-24		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Working Conditions	0	0	-	0	0	-
Health & Safety	0	0	-	0	0	-

Systems are in place at respective premises of BHEL for registration of unsafe conditions related to safety. The same is addressed promptly by concerned departments, and it is a continuous ongoing process.

14. Assessments for the year:

Assessment of	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Health and safety practices	100%
Working Conditions	100%

externally, at regular intervals. Any observations made by auditors, whether internal or external, are diligently addressed through corrective actions. Moreover, Root Cause Analysis (RCA) is carried out for all safety-related incidents, and appropriate corrective measures are promptly implemented. This is a continuous process / activity at BHEL.

Leadership Indicators

15. Provide details of any corrective action taken or underway to address safety-related (if any) and on significant risks / concerns arising from assessments of health & safety practices and working conditions.

BHEL has established systems and procedures to conduct routine safety inspections, both internally and

1. Does the entity extend any life insurance or any compensatory package in the event of death of (A) Employees (Y/N) (B) Workers (Y/N)?

Yes, BHEL extends life insurance or compensatory package to both employees and workers in the event of death.

2. **Provide the measures undertaken by the entity to ensure that statutory dues have been deducted and deposited by the value chain partners.**

BHEL's value chain partners come under PF Act and ESI Act, which makes them liable to deposit statutory dues. Service contract between BHEL and service provider contains clause on 'payment terms' for necessary statutory payment like PF, ESI etc.

3. **Provide the number of employees / workers having suffered high consequence work related injury / ill-health / fatalities (as reported in Q11 of Essential Indicators above), who have been / are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment:**

Nil. There are no eligible cases in respect of employees and workers, affected by high consequence work related injury/ ill-health/ fatalities during FY 2024-25 and FY 2023-24.

Category	Total no. of affected employees/ workers		No. of employees/ workers that are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment	
	FY 2024-25	FY 2023-24	FY 2024-25	FY 2023-24
Employees	0	0	0	0
Workers	43	43	0	0

Note: For the purpose of safety statistics/data all people working inside the BHEL Units have been included in the term Workers.

4. **Does the entity provide transition assistance programs to facilitate continued employability and the management of career endings resulting from retirement or termination of employment? (Yes/ No)**

Yes, BHEL provides transition assistance to facilitate continued employability and the management of career endings resulting from retirement or termination.

5. **Details on assessment of value chain partners:**

All the BHEL's value chain partners come under relevant labour laws and acts. Because of which both central and state labour department conduct periodic inspections related to Health and Safety practices and working conditions at the premise of value chain partners. Any gaps identified are suitability addressed by the partners.

Assessment of	% of value chain partners (by value of business done with such partners) that were assessed
Health and safety practices	100%
Working Conditions	100%

6. **Provide details of any corrective actions taken or underway to address significant risks / concerns arising from assessments of health and safety practices and working conditions of value chain partners.**

Refer point 5 (previous point).

Principle 4: Stakeholder engagement

Essential Indicators

1. **Describe the processes for identifying key stakeholder groups of the entity.**

Stakeholders are individuals or groups concerned or interested with or impacted by the activities of BHEL and vice-versa currently or in future. BHEL, being a listed Company, the shareholders of the Company have been identified as one of the key stakeholders. Further, suppliers or value chain partners are stakeholders w.r.t procurement and they are identified against registration process and through pre-qualification requirements in open tenders. Also, customers and employees too are identified as important stakeholders. Communities, in and around our units, which are directly or indirectly impacted by BHEL's operations are too considered as stakeholders.

2. List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group.

Stakeholder Group	Whether identified as Vulnerable & Marginalized Group (Yes/No)	Channels of communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community, Meetings, Notice Board, Website), Others	Frequency of engagement (Annually/ Half yearly/ Quarterly / others – please specify)	Purpose and scope of engagement including key topics and concerns raised during such engagement
Shareholders	No	Email, Newspaper Advertisement, Disclosure available on Stock Exchanges and BHEL Website	Engagement is done on Quarterly, Half-yearly & Annual basis as well as whenever the event occurs	All material events affecting the Company as well as disclosures required under SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Suppliers	No	Email, Advertisement, Vendor meets, website etc.	Need based	To make suppliers aware of: - Public Procurement Policy (Preference to Make in India) - Import substitution - Participating in tenders issued on GeM portal - Lodging and tracking grievances on BHEL's grievance redressal portal, SUVIDHA - BHEL's quality objectives
Employees	No	Email, Monthly Newsletter, Notice Boards, Intranet Websites, Shop Floor, Shop Council, Plant Council and Joint Council Meetings, Goonj-employee satisfaction survey	Regular	Leadership engagement with employees, motivate them and foster a sense of community within the organization. Employees contribute as change champions with their suggestions on various facets of the organization including policy, process, innovation, structure, financial management, safety etc. Employee engagement survey to periodically revisit the engagement levers.
Customers	No	Email, Advertisement, telephone calls, meetings, website etc.	Regular	Assessment of customer needs, their requirements, complaints resolution, business enquiries etc.
Communities	Yes	Meetings through local NGOs	Case-to-case basis	Assessing their problems and vulnerabilities, which hold them back in attaining better standard of living.

Leadership Indicators

1. Provide the processes for consultation between stakeholders and the Board on economic, environmental, and social topics or if consultation is delegated, how is feedback from such consultations provided to the Board.

The most important forum for the shareholders of BHEL to have access to the Board of Directors is at the Annual General Meeting of the Company. During these meetings, shareholders raise various queries regarding the performance, strategies and outlook of the company, share their grievances as well as provide valuable feedback regarding improvements in the company's performance, not only from a business perspective but also on critical economic, environmental and social topics/ areas.

Further, shareholders get to vote on critical matters including appointment of directors, payment of dividends, related party transactions, auditor's fees etc. which ensures transparency and good corporate governance practices at the Board level.

BHEL value chain partners have access to Independent External Monitors (IEMs), who are nominated by CVC for consultation. They also can share their issues with Vigilance function of company during vendor meets etc. Business Associates' meet are held for interactions with top management of BHEL, wherein the feedback received is addressed. Further, the Board is briefed on issues requiring their attention..

2. Whether stakeholder consultation is used to support the identification and management of environmental, and social topics (Yes / No). If so, provide details of instances as to how the inputs received from stakeholders on these topics were incorporated into policies and activities of the entity.

Yes. Stakeholders have provided their support to various environmental and social endeavours of BHEL viz., indigenization under Atmanirbhar Bharat, utilization of solar energy and water harvesting capacity in BHEL's factories and project sites, empowerment of woman employees etc. Few examples supporting social and environmental topics are as follows which are based on the feedback received during the interactions with stakeholders:

1. Benefits to MSEs like waiver of EMD, purchase preference, PQR relaxation, etc.
2. Foraying into new Business areas like Coal to Chemical etc.

3. Provide details of instances of engagement with, and actions taken to, address the concerns of vulnerable/ marginalized stakeholder groups.

For the underprivileged sections of the community, BHEL undertakes CSR projects and allocates funds based on baseline surveys conducted by local NGOs. These NGOs engage directly with communities during the surveys to understand their needs and challenges.

As part of engagement with vulnerable and marginalized stakeholders, BHEL has conducted 49 supplier meets including Micro & Small Enterprises, during the FY 2024-25.

Principle 5: Human rights

Essential Indicators

1. Employees and workers who have been provided training on human rights issues and policy(ies) of the entity, in the following format:

Category	FY 2024-25			FY 2023-24		
	Total (A)	No. of employees / workers covered (B)	% (B / A)	Total (C)	No. of employees workers covered (D)	% (D / C)
Employees						
Permanent	27800	5445	19.59%	28673	5187	18.09%
Other than permanent	20422	1321	6.47%	17361	570	3.28%
Total Employees	48222	6766	14.03%	46034	5757	12.51%
Workers						
Permanent	13332	2243	16.82%	14207	2036	14.33%
Other than permanent	20327	1321	6.50%	17244	570	3.31%
Total Workers	33659	3564	10.59%	31451	2606	8.29%

Note: Only HR policy related trainings are considered here w.r.t. policies

2. Details of minimum wages paid to employees and workers, in the following format:

Category Total (A)	FY 2024-25					FY 2023-24				
	Total	Equal to Minimum Wage		More than Minimum Wage		Total	Equal to Minimum Wage		More than Minimum Wage	
	No. (A)	No. (B)	% (B / A)	No. (C)	% (C / A)	Nos. (D)	No. (E)	% (E / D)	No. (F)	% (F / D)
Employees										
Permanent	27800	0	0%	27800	100%	28673	0	0%	28673	100%
Male	26183	0	0%	26183	100%	26996	0	0%	26996	100%
Female	1617	0	0%	1617	100%	1677	0	0%	1677	100%
Other	0	0	--	0	--	0	0	--	0	--
Other than Permanent	20422	8752	42.86%	11670	57.14%	17361	7477	43.07%	9884	56.93%
Male	18758	8101	43.19%	10657	56.81%	15764	6862	43.53%	8902	56.47%
Female	1664	651	39.12%	1013	60.88%	1597	615	38.51%	982	61.49%
Other	0	0	--	0	--	0	0	--	0	--
Workers										
Permanent	13332	0	0%	13332	100%	14207	0	0%	14207	100%
Male	12999	0	0%	12999	100%	13846	0	0%	13846	100%
Female	333	0	0%	333	100%	361	0	0%	361	100%
Other	0	0	--	0	--	0	0	--	0	--
Other than Permanent	20327	8752	43.06%	11575	56.94%	17244	7477	43.36%	9767	56.64%
Male	18664	8101	43.40%	10563	56.60%	15648	6862	43.85%	8786	56.15%
Female	1663	651	39.15%	1012	60.85%	1596	615	38.53%	981	61.47%
Other	0	0	--	0	--	0	0	--	0	--

3. Details of remuneration/salary/wages

a. Median remuneration/ wages

Salary/ wage structure of BHEL employee and workers are set as per the guidelines of DPE.

	Male		Female	
	Number	Median remuneration/ salary/ wages of respective category	Number	Median remuneration/ salary/ wages of respective category
Board of Directors (BoD)*^	4	₹66,97,336	1	₹70,56,255
Key Managerial Personnel^ (other than BoD)	1	₹52,44,691	0	0
Employees other than BoD and KMP^	26178	₹16,67,839	1616	₹24,37,754
Workers^	12999	₹14,04,503	333	₹14,05,918

*Independent Directors and part time official Directors are not considered.

Total sitting fees paid to Independent Directors was ₹11,80,000 in FY 2024-25. Median sitting fees paid to Independent Director was ₹5,90,000 in FY 2024-25.

b. Gross wages paid to females as % of total wages paid by the entity, in the following format

Details	FY 2024-25	FY 2023-24
Gross wages paid to females^ (₹)	₹4,08,48,17,799	₹3,96,46,00,000
Total wages^ (₹)	₹57,77,59,26,057	₹56,40,17,00,000
Gross wages^ paid to females as % of total wages	7.07%	7.03%

Note: Employees considered here are permanent employees of BHEL

^PP/SI/PRP has been considered in calculation on actual payment basis. Perks @16% is considered for Executives and Supervisors and Perks @31% is considered for workers. Data pertains to employees on rolls as on March 31, 2025.

4. Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business? (Yes/No)

Yes. Grievance Redressal officers are there in each BHEL premise for addressing human rights issues.

5. Describe the internal mechanisms in place to redress grievances related to human rights issues.

There is formal well laid out grievance redressal mechanism related to human rights issues. The mechanism provides for three-tier resolution. First stage with Controlling Officer, second stage with Head of the Department and third stage with Grievance Redressal Committee.

6. Number of Complaints on the following made by employees and workers:

	FY 2024-25		FY 2023-24	
	Filed during the year	Pending resolution at the end of year	Filed during the year	Pending resolution at the end of year
Sexual Harassment	5	1	3	1
Discrimination at workplace	0	0	0	0
Child Labour	0	0	0	0
Forced Labour/Involuntary Labour	0	0	0	0
Wages	0	0	0	0
Other human rights related issues	0	0	0	0

7. Complaints filed under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act 2013, in the following format:

Details	FY 2024-25	FY 2023-24
i) Total complaints reported under Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal), Act, 2013 (POSH)	5	3
ii) Female employees / workers	1617	1677
iii) Complaints on POSH as a % of female employees/ workers	0.31%	0.18%
iv) Complaints on POSH upheld	3	2

8. Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases.

As a preventive step, identity of complainant is known only to Internal Complaints Committee and is protected. All meetings in the Enquiry (Complainant and Respondent) are never done face to face.

9. Do human rights requirements form part of your business agreements and contracts? (Yes/No)

Yes, human rights requirement forms a part of business agreement or contract. The service contracts between BHEL and service provider contain a clause, meeting human rights requirement like child labour, minimum wages etc.

10. Assessments for the year:

All BHEL premises are periodically inspected by central and state labour departments, PF and ESI departments and other Government institutions or departments for the compliance related to relevant law/ act/ statute and identifying gaps.

Assessment w.r.t.	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Child Labour	100%
Forced Labour/Involuntary Labour	100%
Sexual Harassment	100%
Discrimination at workplace	100%
Wages	100%

11. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 10 above.

No significant risk/ concern was identified.

Leadership Indicators

1. Details of a business process being modified / introduced as a result of addressing human rights grievances/ complaints.

Upholding of Human Rights is central to the Company's value system, and it strives to support, protect and promote human rights to ensure that fair and ethical business and employment practices are followed. The Company is committed to provide a safe inclusive environment for one and all, irrespective of the caste, colour, religion, gender, divyang-jan etc. The same is ensured in company's policies, procedures and practices.

2. Details of the scope and coverage of any Human rights due diligence conducted.

Plants and offices are assessed periodically during the preventive/ statutory audit for ensuring compliance with all the Statutory laws/Regulatory requirement, and the rules made thereunder. The company also conducts training programmes/ sensitization sessions for its employees and trainees including apprentices on the subject.

3. Is the premise/office of the entity accessible to differently abled visitors, as per the requirements of the Rights of Persons with Disabilities Act, 2016?

Yes. Refer Principle 3, Essential Indicator, Point 3.

4. Details on assessment of value chain partners:

Value chain partners of BHEL are assessed on Human Rights criteria by virtue of them coming under labor related laws/ acts/ statutes and these are assessed or inspected by relevant Government department/ institution.

Assessment w.r.t.	% of value chain partners (by value of business done with such partners) that were assessed
Sexual Harassment	100%
Discrimination at workplace	100%
Child Labour	100%
Forced Labour/ Involuntary Labour	100%
Wages	100%

5. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 4 above.

Not applicable

Principle 6: Environment

Essential Indicators

1. Details of total energy consumption (in Joules or multiples) and energy intensity, in the following format:

Financial Year	FY 2024-25	FY 2023-24
Revenue from Operations (₹)	2,83,39,48,00,000	2,38,92,78,00,000
Parameter		
From renewable sources		
Total electricity consumption (A) (in Giga Joules)	142139.08	115816.32
Total fuel consumption (B) (in Giga Joules)	0.00	0.00
Energy consumption through other sources (C) (in Giga Joules)	0.00	0.00
Total energy consumed from renewable sources (A+B+C) (in Giga Joules)	142139.08	115816.32
From non-renewable sources		
Total electricity consumption (D) (in Giga Joules)	798375.20	712922.75
Total fuel consumption (E) (in Giga Joules)	1679014.11	1642736.83
Energy consumption through other sources (F) (in Giga Joules)	0.00	0.00
Total energy consumed from non-renewable sources (D+E+F) (in Giga Joules)	2477389.31	2355659.58
Total energy consumed (A+B+C+D+E+F)	2619528.39	2471475.90

Energy intensity per rupee of turnover (in kilo Joule per ₹ of turnover) (Total energy consumed/ Revenue from operations)	9.24	10.34
Energy intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (in kilo Joule per \$ of turnover adjusted for PPP) (Total energy consumed/ Revenue from operations adjusted for PPP)	211	237
Energy intensity in terms of physical output	-	-
Energy intensity (optional) – the relevant metric may be selected by the entity	-	-

Note A: FY 2023-24 data has been restated after excluding township's electricity consumption data for one of the Manufacturing Unit which was included in the data reported earlier. This has been done to maintain consistency with FY 2024-25 data.

Note: Indicate if any independent assessment/ evaluation/ assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, assurance has been carried out by BUREAU VERITAS (INDIA) PRIVATE LIMITED for BRSR Core, as given in the Independent Assurance Statement, at end of BRSR report.

PPP rate of currency conversion is taken from OECD website

2. Does the entity have any sites / facilities identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India? (Y/N) If yes, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any.

None of the BHEL facilities has been identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme.

Refer Annexure – VII to the Board's Report, 7.1 Conservation of Energy

3. Provide details of the following disclosures related to water, in the following format:

Parameter	FY 2024-25	FY 2023-24
Water withdrawal by source (in kilolitres)		
(i) Surface water	0.00	0.00
(ii) Groundwater	3292052.00	3589762.00
(iii) Third party water	5960580.00	6173909.00
(iv) Seawater / desalinated water	0.00	0.00
(v) Others	0.00	0.00
Total volume of water withdrawal (in kilolitres) (i + ii + iii + iv + v)	9252632.00	9763671.00
Total volume of water consumption (in kilolitres)	9252632.00	9763671.00
Water intensity per rupee of turnover (Total water consumption/ Revenue from operations – Litre per ₹)	0.0326493	0.0408645
Water intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total water consumption/ Revenue from operations adjusted for PPP) – Litre per \$ of turnover adjusted for PPP	0.747	0.935
Water intensity in terms of physical output	-	-
Water intensity (optional) – the relevant metric may be selected by the entity	-	-

Note A: FY 2023-24 data has been restated after excluding township's water consumption data for one of the Manufacturing Unit which was included in the data reported earlier. This has been done to maintain consistency with FY 2024-25 data

Note: Indicate if any independent assessment/ evaluation/ assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, assurance has been carried out by BUREAU VERITAS (INDIA) PRIVATE LIMITED for BRSR Core, as given in the Independent Assurance Statement, at end of BRSR report.

PPP rate of currency conversion is taken from OECD website.

4. Provide the following details related to water discharged

Parameter	FY 2024-25	FY 2023-24
Water discharge by destination and level of treatment (in kilolitres)		
(i) To Surface water	0.00	0.00
No treatment	0.00	0.00
With treatment – please specify level of treatment	0.00	0.00
(ii) To Groundwater	0.00	0.00
No treatment	0.00	0.00
With treatment – please specify level of treatment	0.00	0.00
(iii) To Seawater	0.00	0.00
No treatment	0.00	0.00
With treatment – please specify level of treatment	0.00	0.00
(iv) Sent to third-parties	0.00	0.00
No treatment	0.00	0.00
With treatment – please specify level of treatment	0.00	0.00
(iv) Others	194969.00	142621.00
No treatment	0.00	0.00
With treatment – please specify level of treatment	194969.00	142621.00
Total water discharged (in kilolitres)	194969.00	142621.00

There are number of Sewage Treatment Plants (STPs), Effluent Treatment Plants (ETPs) and Oxidation Ponds established at BHEL units which gives the desired level of treatment to the sewage/trade effluent generated. At most of the places, it is re-used inside the premises and not released outside.

Note: Indicate if any independent assessment/ evaluation/ assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, assurance has been carried out by BUREAU VERITAS (INDIA) PRIVATE LIMITED for BRSR Core, as given in the Independent Assurance Statement, at end of BRSR report.

PPP rate of currency conversion is taken from OECD website.

5. Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation.

As part of the company's sustainability initiatives, 11 of its manufacturing units have achieved zero liquid discharge status, i.e. they do not release any effluent outside their

premises. The treated effluent and sewage are utilized for horticultural purposes within the plant premises to maintain green spaces across the campuses.

6. Please provide details of air emissions (other than GHG emissions) by the entity, in the following format:

Parameter	Unit	2024-25	2023-24
NOx	Tonne	230.69	153.42
SOx	Tonne	357.93	301.00
Particulate Matters (PM)	Tonne	314.38	355.59
Persistent organic pollutants (POC)	Tonne	0.00	0.00
Volatile organic compounds (VOC)	Tonne	230.07	172.96
Hazardous air pollutants (HAP)	Tonne	3.65	7.35
Others – Carbon Monoxide	Tonne	48.76	18.53

Note A: For FY 2023-24, data has been restated on account of inclusion of one of the Manufacturing Unit which was not reported earlier.

Note: Indicate if any independent assessment/ evaluation/ assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, assurance has been carried out by BUREAU VERITAS (INDIA) PRIVATE LIMITED for BRSR Core, as given in the Independent Assurance Statement, at end of BRSR report.

7. Provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) & its intensity, in the following format:

Parameter	Unit	2024-25	2023-24
Total Scope 1 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	tCO ₂ e	135975.14	127879.24
Total Scope 2 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	tCO ₂ e	161227.44	141792.33

Total Scope 1 and Scope 2 emissions per rupee of turnover (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations)	Gram of CO ₂ emitted per ₹ of turnover achieved	1.05	1.13
Total Scope 1 and Scope 2 emission intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations adjusted for PPP)	Gram of CO ₂ emitted per \$ of turnover achieved adjusted to PPP	23.99	25.82
Total Scope 1 and Scope 2 emission intensity in terms of physical output		-	-
Total Scope 1 and Scope 2 emission intensity (optional) – the relevant metric may be selected by the entity		-	-

Note A: FY 2023-24 data have been restated due to following reasons:

- Fugitive emission of CO₂ which was not considered earlier, has been included now.
- One of the manufacturing units had included electricity consumption in township in total electricity consumption and the same has been rectified now.

Note: Indicate if any independent assessment/ evaluation/ assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, assurance has been carried out by BUREAU VERITAS (INDIA) PRIVATE LIMITED for BRSR Core, as given in the Independent Assurance Statement, at end of BRSR report.

PPP rate of currency conversion is taken from OECD website.

8. Does the entity have any project related to reducing Green House Gas emission? If Yes, then provide details.

Yes. BHEL has set up nearly 41.8 MW_p of capacity of Solar Power plants including rooftop solar which has helped the organization in reducing its GHG Emissions.

Owing to augmentation of our solar portfolio inside our premises by 7 MW_p during 2024-25, our carbon emissions avoidance reached 28,704 Metric Tonnes in FY 2024-25

Energy conservation / efficiency related projects are regular feature in our units which helps us in demand side management of energy and consequently reducing the associated carbon emission which would have occurred otherwise at enhanced level.

Refer Annexure – IV to the Board's Report, 4.1.2 Energy Efficiency and Management

Refer Annexure – IV to the Board's Report, 4.1.5 Carbon Footprint Reductions

Refer Annexure – VII to the Board's Report, 7.1 Conservation of Energy

9. Provide details related to waste management by the entity, in the following format:

Parameter	FY 2024-25	FY 2023-24
Total Waste generated (in metric tonnes)		
Plastic waste (A)*	107.68	91.29
E-waste (B)	117.78	36.36
Bio-medical waste (C)	11.68	16.34
Construction and demolition waste (D)	267.00	157.20
Battery waste (E)	70.75	77.59
Radioactive waste (F)	0.00	0.00
Other Hazardous waste. Please specify, if any. (G)	1133.21	1187.71
Other Non-hazardous waste generated (H). Please specify, if any. (Break-up by composition i.e. by materials relevant to the sector)	54588.30	51011.95
Total (A + B + C + D + E + F + G + H)	56296.40	52578.44
Waste intensity per rupee of turnover (Total waste generated / Revenue from operations) – Gram per ₹	0.20	0.22

Waste intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total waste generated / Revenue from operations adjusted for PPP) – Gram per \$ in PPP	4.55	5.04
Waste intensity in terms of physical output	-	-
Waste intensity (optional) – the relevant metric may be selected by the entity	-	-
For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)		
Category of waste		
(i) Recycled	391.13	311.98
(ii) Re-used	455.49	465.83
(iii) Other recovery operations	0.00	0.00
Total	846.62	777.81
For each category of waste generated, total waste disposed by nature of disposal method (in metric tonnes)		
Category of waste		
(i) Incineration	2.94	10.72
(ii) Landfilling	178.20	157.26
(iii) Other disposal operations	42740.70	38773.65
Total	42921.84	38941.63

*Quantity of plastic waste disposed during the year to authorized agency.

In table above, 'other disposal operations' include sale of the scrap through e-auction/ other means to external agencies for their recycle/reuse/recovery. After considerable amount of scrap is accumulated, it is sold to the agency for final disposal

Refer Annexure – IV to the Board's Report, 4.1.1 Responsible use of Material and Natural Resource Consumption

Refer Annexure – IV to the Board's Report, 4.1.3 Water Stewardship

Refer Annexure – IV to the Board's Report, 4.1.6 Waste Minimization and Circularity

Note: Indicate if any independent assessment/ evaluation/ assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, assurance has been carried out by BUREAU VERITAS (INDIA) PRIVATE LIMITED for BRSR Core, as given in the Independent Assurance Statement, at end of BRSR report.

10. Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes.

In our waste minimization process, we prioritize efficient cutting of metal sheets through a nesting plan. Generated scrap is either utilized in local foundries for castings/forgings or sent to authorized recyclers like CFFP Haridwar for melting in furnaces to reduce virgin material consumption.

At BHEL, solid wastes with resale value are collected, sorted, and sold to authorized recyclers, while non-resalable scraps are repurposed for filling low-lying areas. Hazardous waste and E-waste are disposed of in compliance with regulations, with proper records maintained for scrutiny. Hazardous waste is either sent to authorized recyclers or to Treatment Storage and Disposal Facility (TSDF) for appropriate disposal as required by respective state regulations.

Refer Annexure – IV to the Board's Report, 4.1.1 Responsible use of Material and Natural Resource Consumption

Refer Annexure – IV to the Board's Report, 4.1.3 Water Stewardship

Refer Annexure – IV to the Board's Report, 4.1.6 Waste Minimization and Circularity

11. If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals / clearances are required, please specify details in the following format:

Not applicable

12. Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year:

Not applicable

13. Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India; such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder (Y/N). If not, provide details of all such non-compliances, in the following format:

Yes, BHEL is compliant with the extant applicable environmental law/ regulations/ guidelines in India.

Leadership Indicators

1. Water withdrawal, consumption and discharge in areas of water stress (in kilolitres) :

For each facility / plant located in areas of water stress, provide the following information:

- i Name of the area: NIL
- ii Nature of operations: NIL
- iii Water withdrawal, consumption and discharge– Not Applicable

Yes, assessment/ evaluation/ assurance has been carried out by BUREAU VERITAS (INDIA) PRIVATE LIMITED.

2. Please provide details of total Scope 3 emissions & its intensity, in the following format:

Parameter	Unit	FY 2024-25	FY 2023-24
Total Scope 3 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	tCO ₂ e	-	-
Total Scope 3 emissions per rupee of turnover		-	-
Total Scope 3 emission intensity (optional) – the relevant metric may be selected by the entity		-	-

Below mentioned are some of the ways in which BHEL is trying to reduce its own Scope-3 emissions. However, it is not being quantified at the moment.

- i At many energy intensive units, we have switched over from LPG to RLNG which is being supplied through the pipeline and thereby avoiding scope-3 emissions associated with carriage of the fuel through roadways to that extent.
- ii Employees are encouraged to use car pool to save energy and avoid Scope-3 emissions.

3. With respect to the ecologically sensitive areas reported at Question 11 of Essential Indicators above, provide details of significant direct & indirect impact of the entity on biodiversity in such areas along-with prevention and remediation activities.

Not applicable

4. If the entity has undertaken any specific initiatives or used innovative technology or solutions to improve resource efficiency, or reduce impact due to emissions /

effluent discharge / waste generated, please provide details of the same as well as outcome of such initiatives, as per the following format:

Sr. No	Initiative undertaken	Details of the initiative (Web-link, if any, may be provided along-with summary)	Outcome of the initiative
1.	Zero Effluent Discharge outside premises	To prevent water pollution and promote sustainable wastewater management, the company has set up 21 Effluent Treatment Plants (ETPs) and 19 Sewage Treatment Plants (STPs). Effluents treated by these plants are reused within our premises for various purposes such as industrial processes, toilet flushing, and gardening. Consequently, 11 units have achieved zero effluent discharge outside their boundaries due to these initiatives.	Due to non-discharge of effluent outside the premises, we have avoided land and water pollution.
2.	Single use plastic free townships	BHEL townships has been declared as single use plastic free through 3 rd Party Audit.	BHEL Townships has been developed as sustainable habitats and citizens have developed a habit of avoiding single use plastic resulting in avoidance of land and water pollution on account of plastic waste.
3.	Installation of Energy Efficient Electrical appliances	Installation of i. 491 Nos. New 5-star, 1.5 TR, Inverter Window ACs in place of Old 5-star, fixed speed, 1.5 TR, Window ACs ii. 61 Nos. Brand new 3-Star, 2 TR, Hot and Cold, Inverter Split ACs in place of old 3-star, 2 TR, Cooling only Inverter Split AC etc.	Will result in annual avoidance of electrical energy to the tune of 5,27,269 units
4.	Upgradation to Regenerative burner in reheating furnaces	Upgradation from conventional to regenerative burners-based combustion system of 12 meter (HFS) and 9 meter reheating furnaces	Will result in annual avoidance of use of 11,71,726 SCM of RLNG fuel at CFFP Haridwar
5.	Structural revamping of furnaces	Structural revamping with improved insulation and better damper operation of LF-01, LF-02 and 6 meter furnaces.	Will result in annual avoidance of use of 90,000 SCM of RLNG fuel in CFFP Unit
6.	Energy efficient air compressor	Procurement and Installation of energy efficient screw type air compressor of 1500 cfm capacity	Will result in annual avoidance of electrical energy to the tune of 3,60,000 units at Trichy.
7.	Energy efficient lighting	Replacement of 1600 numbers conventional 250 W high bay HPSV lamp with 150 W LED light fitting	Will result in annual avoidance of electrical energy to the tune of 5,76,000 units at Trichy.

Sr. No	Initiative undertaken	Details of the initiative (Web-link, if any, may be provided along-with summary)	Outcome of the initiative
8.	Installation of Inhouse Solar Power Plants	The solar power plants installed across BHEL has reached an installed capacity of around 41.84 MW generating green energy for its internal consumption.	It has resulted in generation of 231.65 million units of green electricity in the last 8 years and avoiding equivalent amount of conventional power and consequently reducing the carbon footprint.

For more details:

Refer Annexure – IV to the Board's Report, Sustainability Performance – Environmental

Refer Annexure – VII to the Board's Report, Conservation of Energy

5. Does the entity have a business continuity and disaster management plan? Give details / web link.

Yes, BHEL has a business continuity and disaster management plan. Same was acted upon during COVID-19 outbreak. Business continuity plan and/ or disaster management plan were not published on internet.

6. Disclose any significant adverse impact to the environment, arising from the value chain of the entity. What mitigation or adaptation measures have been taken by the entity in this regard.

No significant impact came to notice.

7. Percentage of value chain partners (by value of business done with such partners) that were assessed for environmental impacts.

100% of value chain partners were assessed for environmental impact by virtue of them coming under environment related laws/ acts/ statutes and these are assessed or inspected by relevant Government department/ institutions. BHEL's contract document with the value chain partner, contains practices to be followed with respect to Environment, and BHEL takes undertaking from them in this regard.

8. How many Green Credits have been generated or procured:

a. By the listed entity

Nil

b. By the top ten (in terms of value of purchases and sales, respectively) value chain partners

Nil

Principle 7: Policy advocacy

Essential Indicators

1. a. Number of affiliations with trade and industry chambers/ associations.

Ten (10) affiliations.

b. List the top 10 trade and industry chambers/ associations (determined based on the total members of such body) the entity is a member of/ affiliated to.

S. No.	Name of the trade and industry chambers/ associations	Reach of trade and industry chambers/ associations (State/National)
1	CIGRE India	International
2	Indian Electrical and Electronics Manufacturers' Association (IEEMA)	National
3	Confederation of Indian Industry (CII)	National
4	Federation of Indian Chambers of Commerce & Industry (FICCI)	National
5	Standing Conference of Public Enterprises (SCOPE)	National
6	Engineering Export Promotion Council of India (EEPC)	National
7	Project Exports Promotion Council of India (PEPC)	National
8	PHD Chamber of Commerce and Industry	National
9	Central Board of Irrigation and Power (CBIP)	National
10	Construction Industries Development Council	National

2. Provide details of corrective action taken or underway on any issues related to anticompetitive conduct by the entity, based on adverse orders from regulatory authorities.

No instance of anti-competitive conduct by BHEL has been raised.

Leadership Indicators

1. Details of public policy positions advocated by the entity:

S. No.	Public policy advocated	Method resorted for such advocacy	Whether information available in public domain? (Yes/No)	Frequency of Review by Board (Annually/ Half yearly/ Quarterly/ Others – please specify)	Web Link, if available
1.	BHEL SAMVAAD 4.0 - Dialogue with success partners of BHEL for strengthening self-reliance through innovation and collaboration	BHEL, under the guidance of MHI, conducted the event on 25.11.2024 at Bharat Mandapam, New Delhi	Yes	--	--
2.	Participation in various exhibitions and ELECRAMA (organized by IEEMA), GRIDCON (organized by Power Grid), International Methanol Seminar	BHEL, showcased its capabilities on the theme of each event	Yes	--	--

S. No.	Public policy advocated	Method resorted for such advocacy	Whether information available in public domain? (Yes/No)	Frequency of Review by Board (Annually/ Half yearly/ Quarterly/ Others – please specify)	Web Link, if available
3.	Participation in various activities/ inputs to boost Capital Goods Sector, Public Sector Enterprise Council etc.	Through interaction with Industrial Bodies (CII, FICCI), Government Ministries viz. MHI, MoP, etc.	No	--	--
4.	Participation in various meetings of sub groups formed for revising capital goods policy	Through interaction with Industrial Bodies (CII, FICCI) and their respective consultants	No	--	--
5.	Facilitation of international trade and collaboration	Through inputs to Industry Bodies/ Government agencies for FTAs, etc.	No	--	--
6.	Inputs on matters such as Customs, Export promotion and Export incentives	Pre-budget memorandum for Budget 2024-25	No	--	--

Principle 8: Inclusive growth

Essential Indicators

1. Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year.

Not applicable

2. Provide information on project(s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity, in the following format:

Not applicable

3. Describe the mechanisms to receive and redress grievances of the community.

Community raises their grievances through Centralised Public Grievance Redress and Monitoring System (CPGRAMS)/ Public Grievance Portal which are then assigned to Public Grievance Officer in BHEL.

4. Percentage of input material (inputs to total inputs by value) sourced from suppliers:

	FY 2024-25	FY 2023-24
Directly sourced from MSMEs/ small producers	39.7%	32.18%
Sourced directly from within the district and neighbouring districts	14%	12%

5. Job creation in smaller towns – Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent/ on contract basis) in the following locations, as % of total wage cost*

Location	FY 2024-25	FY 2023-24
Rural		
i) Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent / on contract basis)	₹3,88,11,79,474.48	₹3,29,77,73,379.00
ii) Total Wage Cost	₹57,77,59,26,056.80	₹56,40,17,00,000.00
iii) % of Job creation in Rural areas	6.72%	5.85%
Semi-urban		
i) Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent / on contract basis)	₹14,30,62,56,604.75	₹13,71,33,13,292.00
ii) Total Wage Cost	₹57,77,59,26,056.80	₹56,40,17,00,000.00
iii) % of Job creation in Semi-urban areas	24.76%	24.31%
Urban		
i) Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent / on contract basis)	₹14,91,64,76,621.57	₹14,10,24,94,878.00
ii) Total Wage Cost	₹57,77,59,26,056.80	₹56,40,17,00,000.00
iii) % of Job creation in Urban areas	25.82%	25.00%
Metropolitan		
i) Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent / on contract basis)	₹24,67,20,13,355.99	₹24,43,50,39,231.00
ii) Total Wage Cost	₹57,77,59,26,056.80	₹56,40,17,00,000.00
iii) % of Job creation in Metropolitan areas	42.70%	43.32%

Note: Employees considered here are permanent

*PP/SI/PRP has been considered in calculation on actual payment basis. Perks @16% is considered for Executives and Supervisors and Perks @31% is considered for workers.

Leadership Indicators

1. Provide details of actions taken to mitigate any negative social impacts identified in the Social Impact Assessments (Reference: Question 1 of Essential Indicators above):

Not applicable

2. Provide the following information on CSR projects undertaken by your entity in designated aspirational districts as identified by Government bodies:

Amount spent on CSR projects in designated aspirational districts during FY 2024-25 are

S. No.	State	Aspirational District	Amount Spent (in ₹ Lakh)
1	Uttarakhand	Haridwar	106.18

3. (a) Do you have a preferential procurement policy where you give preference to purchase from suppliers comprising marginalized / vulnerable groups? (Yes/No/NA)

Yes

(b) From which marginalized / vulnerable groups do you procure?

Company has been supporting Micro and Small Enterprises (MSEs). MSEs tend to employ a larger share of the vulnerable sectors of the workforce, such as women, youth, and people from poorer households. Regular Vendor Meets and Supplier Development programs are being organized by BHEL units, specifically for MSEs (including local suppliers) as well as specific to SC/STs, which serves as a platform for identification of needs and formulation of action plan for mutual benefits. Further, preferences as mandated in the Public Procurement Policy for Micro and Small Enterprises (MSEs) Order for MSEs (issued by Ministry of MSME-Gol), are given.

To support all MSME/ MSE vendors, BHEL has onboarded itself on all the operating Trade Receivables Electronic Discounting System (TReDs) portals (mandated vide notification of MoMSME dated 07.11.2024). TReDS is an online platform that facilitates MSMEs to access working capital by discounting their trade receivables. Further, for enhanced visibility, GeM has provided for integration of BHEL's enterprise resource planning (ERP) with GeM and the same is in place for BHEL. The company also carried out 100% timely payments to MSE Vendors directly or through TReDS within the prescribed timelines (as mandated by MSMED Act, 2006). These initiatives affirm BHEL's full compliance with all DPE guidelines concerning TReDS.

(c) What percentage of total procurement (by value) does it constitute?

In FY 2024-25, BHEL procured 39.67% of its total goods and services from MSEs, 0.13% from SC/ST-owned MSEs and 1.55% from women-owned MSEs. The company also ensured timely payments to all MSEs.

4. Details of the benefits derived and shared from the intellectual properties owned or acquired by your entity (in the current financial year) based on traditional knowledge:

The company does not own or acquire Intellectual Property based on traditional knowledge. The company's products and corresponding IPs are based on knowledge derived through scientific evidence.

Refer Annexure -VI to the Board's Report of Annual Report, Research and Development and Technological achievements.

5. Details of corrective actions taken or underway, based on any adverse order in intellectual property related disputes where in usage of traditional knowledge is involved.

No Intellectual Property dispute regarding usage of traditional knowledge during FY 2024-25.

6. Details of beneficiaries of CSR Projects:

S. No.	CSR Project (FY 2024-25)	No. of persons benefitted from CSR Projects	% of beneficiaries from vulnerable and marginalized groups
1	Financial support to restore eye sight of rural poor/underprivileged people with Cataract blindness at Noida, Uttar Pradesh.	60	100%
2	Financial support for organising medical camp for screening of anaemia in the villages under Bantol Gram Panchayat, Talcher, Odisha.	282	100%
3	Financial Support for providing Nutritional food to overcome Nutritional deficiency among children at Miyapur, Hyderabad.	150	100%

S. No.	CSR Project (FY 2024-25)	No. of persons benefitted from CSR Projects	% of beneficiaries from vulnerable and marginalized groups
4	Financial Support for providing Nutritional food to overcome Nutritional deficiency among children at Picket, Secunderabad, Hyderabad.	65	100%
5	Financial support extended for palliative care to cancer patients through the provision of a refrigerator, aimed at enhancing the storage of essential medications and supplies at Kukatpally, Hyderabad.	35	100%
6	Financial support for organising Health Awareness and medical camp in village Sarwaun, Babina, Jhansi.	300	100%
7	Support for running schools located in BHEL manufacturing units at Haridwar and Jhansi.	920	100%

For more information on CSR, refer Annexure-IV, Sustainability Performance-Social

Principle 9: Customer value

Essential Indicator

1. Describe the mechanisms in place to receive and respond to consumer complaints and feedback.

Customer value is prominent part of BHEL's culture and is reflected in our Vision, Mission and Values statement. The company constantly focusses to create value for customers through products and services.

Complaints of customers are received through various channels like letters, emails, phone calls and during meetings. The complaints are subsequently escalated to concerned agencies for immediate resolution and parallelly Root Cause Analysis (RCA) are done to avoid re-occurrences.

Apart from complaints, customer feedback is taken through customers' meets, face-to-face interactions, video-conferencing and appreciation letters.

2. Turnover of Products and/services as a percentage of turnover from all products/services that carry information about "Environmental & social parameters relevant to the product", "Safe and responsible usage" and "Recycling and/or safe disposal".

BHEL products are capital goods and hence have long operating life of 25 years. The products/ systems are offered to customers with manuals covering safety, operating in environment- friendly manner etc. The same aspects are covered in training of customer personnel by BHEL.

3. Number of consumer complaints in respect of the following:

	FY 2024-25			FY 2023-24		
	Received during the year	Pending resolution end of year	Remarks	Received during the year	Pending resolution end of year	Remarks
Data privacy	0	0	-	0	0	-
Advertising	0	0	-	0	0	-
Cyber-security	0	0	-	0	0	-
Delivery of essential services	Not applicable					
Restrictive Trade Practices	0	0	-	0	0	-
Unfair Trade Practices	0	0	-	0	0	-
Other	358	42	-	330	74	-

4. Details of instances of product recalls on account of safety issues:

There are no instances of product recall that happened on account of safety issues.

5. Does the entity have a framework/ policy on cyber security and risks related to data privacy? (Yes/No) If available, provide a web-link of the policy.

Yes, BHEL has an established and approved cyber security policy, which is internal to the organisation. Moreover, BHEL is in B2B business and does not deal with individual customers. Hence, any individual customer data is not stored.

Refer 'Data and Cyber Security' in Report of the Board of Directors

6. Provide details of any corrective actions taken on Underway on issues relating of advertising, and delivery of essential services; cyber security and data privacy of customers; re-occurrence of instances of product recalls; penalty / action taken by regulatory authorities on safety of products / services.

Not applicable. No such issue has been raised

7. Provide the following information relating to data breaches:

- a. Number of instances of data breaches
0
- b. Percentage of data breaches involving personally identifiable information of customers
Nil (0%)
- c. Impact, if any, of the data breaches
NA

Leadership Indicators

1. Channels / platforms where information on products and services of the entity can be accessed (provide web link, if available).

Information on products and services of BHEL can be accessed from www.bhel.com

2. Steps taken to inform and educate consumers about safe and responsible usage of products and/or services.

Operation Manual and Training on products or systems are provided to customers as per the contractual requirements. Furthermore, technical advisories are issued to customers for safe O&M of BHEL supplied machines on case-to-case basis.

3. Mechanisms in place to inform consumers of any risk of disruption/discontinuation of essential services.

BHEL is in regular touch with its customers and any disruptions are informed by emails, letter and through other communication means agreed to in the Contract/ Purchase Order. Further, proactive interactions with customers and customer feedback helps in averting disruption of operations at the customer premise. Periodic communications in form of letters or other digital means are issued to customers about their machines which are due for overhaul or mandatory inspections.

4. Does the entity display product information on the product over and above what is mandated as per local laws? (Yes/No/Not Applicable) If yes, provide details in brief. Did your entity carry out any survey with regard to consumer satisfaction relating to the major products / services of the entity, significant locations of operation of the entity or the entity as a whole? (Yes/No)

Yes. All the required and standard information are displayed on the products dispatched by BHEL..

Yes. BHEL conducts customer satisfaction survey for major products/ services. However, no survey was conducted during FY 2024-25.

**For and on behalf of the Board of Directors of
BHARAT HEAVY ELECTRICALS LTD.**



K. Sadashiv Murthy

Chairman & Managing Director

Place: New Delhi
Date: July 25, 2025

Independent Assurance Statement

To

Bharat Heavy Electricals Limited (BHEL).

BHEL House, Siri Fort, New Delhi-110049 (India)

Introduction and Objective of Work

BUREAU VERITAS has been engaged by Bharat Heavy Electricals Limited (hereinafter abbreviated as “BHEL”) to conduct an independent assurance of the Business Responsibility and Sustainability Report Core (hereinafter abbreviated as “BRSR Core”), consisting of the Key Performance Indicators (KPIs) under Environment, Social and Governance (ESG) attributes, which are mentioned in Annexure I, as prescribed under the Securities and Exchange Board of India (SEBI) Circular dated 12th July, 2023 & SEBI/HO/CFD/CFD-PoD- 1/P/CIR/2024/177 dated December 20, 2024.

Intended User

The assurance statement is made solely for “BHEL and its stakeholders” as per the governing contractual terms and conditions of the assurance engagement contract between “BHEL” and “Bureau Veritas”. To the extent that the law permits, we owe no responsibility and do not accept any liability to any party other than “BHEL” for the work we have performed for this assurance report, or our conclusions stated in the paragraph below.

Reporting Criteria

Reporting Framework based on BRSR Core, Business Responsibility and Sustainability Report as per Annexure 1 of the SEBI circular SEBI/HO/CFD/CFD-SEC-2/P/CIR/2023/122 dated July 12, 2023 & SEBI/HO/CFD/CFD-PoD- 1/P/CIR/2024/177 dated December 20, 2024, BRSR Core KPIs.

The reported information of BRSR core based on following nine ESG attributes:

1. Green-house gas (GHG) footprint
2. Water footprint
3. Energy footprint
4. Embracing circularity - details related to waste management by the entity
5. Enhancing Employee Wellbeing and Safety
6. Enabling Gender Diversity in Business
7. Enabling Inclusive Development
8. Fairness in Engaging with Customers and Suppliers
9. Open-ness of business

Assurance Standards Used

Bureau Veritas conducted reasonable assurance of BRSR Core in accordance with the requirements of the International Federation of Accountants (IFAC) International Standard on Assurance Engagement (ISAE) 3000 (Revised) Reasonable Assurance & GHG as per ISAE 3410. Under this standard, Bureau Veritas has reviewed the information presented in the report against the characteristics of relevance, completeness, materiality, reliability, neutrality, and understandability.

Scope and Boundary of Assurance

- Checking that the data and information included in the BRSR Core (sub-set of BRSR), consisting of a set of Key Performance Indicators (KPIs) / metrics under 9 ESG attributes for the reporting period from 01.04.2024 to 31.03.2025 was fairly presented without material misrepresentation.
- Appropriateness and robustness of underlying reporting systems and processes, used to collect, analyse, and review the information reported.

Reporting Boundary: Only the standalone operations of BHEL.

Independent Assurance Statement

**The Methodology Adopted for Assurance**

Bureau Veritas conducted a sustainability assurance process for BHEL's BRSR core disclosures for April 1, 2024, to March 31, 2025, following SEBI's BRSR guidelines. Our procedures, tailored to the provided data and associated risks, included:

- Assessing report preparation against BRSR Core parameters.
- Evaluating assumptions, data estimation, and systems for accuracy and adherence to materiality, inclusivity, and responsiveness principles.
- Verifying quantification and analysis processes through site visits and discussions with corporate and operational personnel.
- Reviewing stakeholder engagement, materiality assessments, and data compilation processes at corporate and plant levels.
- Auditing claims and data streams for accuracy in collection, transcription, and aggregation.
- Evaluating ESG policies, practices, and GHG emissions calculations for reliability and fairness.
- Ensuring no misrepresentation of disclosures through review of evidence and backup data.

Limitations and Exclusions

The assurance is limited to the above-mentioned scope of work and excludes the information relating to:

- Data related to the Company's financial performance disclosures.
- Activities and practices followed outside the defined assurance period stated herein above.
- Positional statements, expressions of opinion, belief, aim, or future intention by "BHEL" and statements of future commitment.
- The assurance does not extend to the activities and operations of "BHEL" outside of the scope and geographical boundaries mentioned in the report as well as the operations undertaken by any other entity that may be associated with or have a business relationship with "BHEL".
- Compliance with any Environmental, Social, and legal issues related to the regulatory authority.
- Any of the statements related to company aspects or reputation.

Conclusion

Bureau Veritas conducted a comprehensive review of BHEL's BRSR core disclosures for the period April 1, 2024, to March 31, 2025, as presented in its Report. Based on the procedures performed, evidence obtained, and information and explanations provided by management, and subject to the inherent limitations outlined in the Report, in our opinion, BHEL's BRSR core disclosures are, in all material respects, prepared in accordance with the Securities and Exchange Board of India's (SEBI) BRSR guidelines.

As part of our independent reasonable assurance engagement, we rigorously evaluated the robustness and appropriateness of the underlying reporting systems and processes used to collect, analyse, and validate the reported information. Our assessment confirms that these systems are effectively designed and implemented to ensure alignment with SEBI's BRSR framework, supporting the accuracy, reliability, and completeness of the disclosures.

Responsibilities

BHEL is completely responsible for the report contents, identification of material topics, and data reporting structure. The selection of reporting criteria, reporting period, reporting boundary, monitoring, and measurement of data, preparation, and presentation of information for the report are the sole responsibility of the management of "BHEL". Bureau Veritas (BV) was not involved in the drafting or preparation of the report and any other backup data for the reporting period. The

responsibility of BV was to provide reasonable independent assurance for the sustainability of non-financial disclosures as described in the scope of assurance.

The said assessment is properly based on the assumption that the data and information provided in the report are proper and without any discrepancy. Bureau Veritas shall not be held liable or responsible for any type of decision a person or entity would make based on this assurance statement. While reading the assurance statement, stakeholders shall recognize and accept the limitations and scope as mentioned above.

Uncertainty

The reliability of assurance is subject to uncertainty(ies) that is inherent in the assurance process. Uncertainties stem from limitations in quantification models used, assumptions, or data conversion factors used or may be present in the estimation of data used to arrive at results. Our conclusions with respect to this assurance are naturally subject to any inherent uncertainty(ies) involved in the assurance process.

Statement of Independence, Impartiality, and Competence

Bureau Veritas is an independent professional services company that specializes in Quality, Health, Safety, Social, and Environmental Management with almost 196 years of history in providing independent assurance services. Bureau Veritas has implemented a Code of Ethics across the business to maintain high ethical standards among staff in their day-to-day business activities. We are particularly vigilant in the prevention of conflicts of interest.

No member of the assurance team has a business relationship with “BHEL”, its Directors, Managers, or officials beyond that required of this assignment. We have conducted this verification independently and there has been no conflict of interest.

The assurance team has extensive experience in conducting assurance over environmental, social, ethical, and health & safety information, systems, and processes and an excellent understanding of Bureau Veritas standard methodology for the assurance BRSR.

Competence

The assurance team has extensive experience in conducting assurance for environmental, social, ethical, and health & safety information, systems, and processes, along with an excellent understanding of Bureau Veritas' standard methodology for the assurance of sustainability reports.

Restriction on use of Our Report

Our Reasonable assurance report has been prepared and addressed to the Board of Directors of the Company at the request of the company solely to assist the company in reporting on the Company's Sustainability performance and activities. Accordingly, we accept no liability to anyone other than the Company. Our deliverables should not be used for any other purpose or by any person other than the addressees of our deliverables. The Firm neither accepts nor assumes any duty of care or liability for any other purpose or to any other party to whom our deliverables are shown or in whose hands it may come without our prior consent in writing.



Amit Kumar
Lead Assurer
Bureau Veritas (India) Private Limited
Noida, India
Dt: June 19, 2025



Munji Rama Mohan Rao
Technical Reviewer
Bureau Veritas (India) Private Limited
Hyderabad, India
Dt: June 19, 2025